

The Standard Narrative

The Action Agenda Solution



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What is a strategy? My question arises because strategy work is so frequently poorly done. The decline in strategic thinking has been driven by the parallel rise of what I have come to call the “Standard Narrative.”

The basic meaning of the word “strategy” comes to us from ancient Greece. In the 5th century B.C., Athens would elect ten strategoi (στρατηγοί) who would meet periodically at the Strategeion, a small structure in the Agora—a central public space. There they would consider how the city-state should deal with important issues—perhaps the Spartans or Persians were planning an attack, or a plague had broken out, or that the cities’ finances were in ruin, or that missing cooperation was required to build a new temple. The picture below shows me standing at the site in what remains of the Agora in modern Athens.

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Thus the proper age-old meaning of “strategy” is a set of actions designed to surmount a high-stakes challenge. Whether one is playing chess, conducting a political campaign, directing a business, or leading a military, one’s strategy is a pattern of action guided by an understanding of countervailing forces: the actions of competitors and enemies, the vicissitudes of nature, and the frictions and inertia inherent to social systems.

Tragically, in the last three decades the word “strategy” has been hijacked and replaced by the “Standard Narrative.” In far too many companies, in almost every U.S. government agency, and in most universities and non-profits, the word “strategy” now denotes a particular literary form. It is a form eliciting groans of boredom and deep feelings of wasted time and effort, but which seemingly cannot be abandoned.

The Standard Narrative starts with a statement of values (e.g., excellence, saving the planet, and, today, inclusion) and goes on to enunciate broad ambitions.

For example, the Biden-Harris 2022 National Security Strategy (NSS) frames the overall situation as a conflict between the values of democracy and autocracy. The key threats are Russia, China, and climate change. It then calls for “Transformative Cooperation” with other nations that share U.S. interests; A more “Prosperous World;” A “Stronger Military” based on joint integration across all domains, regions, and policies; And, working internationally to counter climate change.

What the 2022 NSS does not do, and why it fails to drive coherent action, is recognize difficulties and challenges. Some of these are implicit yet unmentioned within the stated ambitions and others have been simply skipped. For example:

- Will European allies really join forces with the U.S. in opposing a Chinese takeover of Taiwan?
- The U.S. has been calling for “jointness” for many years. Why is this so difficult and what is actually being done to make it work this time?
- There is no mention of the challenge noted in *Foreign Policy* that “Every advanced weapon in the U.S. arsenal—from Tomahawk missiles to the F-35 fighter jet to Aegis-equipped destroyers and cruisers and everything in between—is absolutely reliant on components made using rare-earth elements” that come almost exclusively from China.¹
- With regard to climate change being an “existential threat,” will the world’s poorer countries really agree to stay poor rather than burn wood, coal, and oil for energy? For example, despite a U.S.-Japan deal to give Indonesia \$20 billion for renewables, the Indonesian government is investing in more coal plants.

By avoiding the mention of specific difficulties or challenges, the Standard Narrative NSS sidesteps the pressure to call out identifiable actions. When one recognizes a specific difficulty it invites a specific action response. Thus, the NSS relies on statements of hubristic goals and ambitions. The consequent banality is the source of the widespread general contempt for “strategy.”

The Standard Narrative also courts banality by seeking to include all activities within its scope. Thus, for example, the NASA “strategy” says that it seeks to understand the earth and its climate, the sun, the solar system, and the universe, explore the moon and deep space, develop a human spaceflight economy enabled by a commercial market, safeguard explorers, enhance space access, innovate and advance transformational space technologies, drive sustainable aviation, attract a talented and diverse workforce, and build the next generation of explorers.

Walking down a hallway in this kind of organization one will see a poster proclaiming these ambitions and another asking “Do you know how your job fits into the strategy?” Of course, if the strategy is a description of what all units and all employees do, it cannot focus on solving the critical challenges facing it.

At NASA, there should be a serious question as to why it remains in the rocket business now that commercial alternatives are available at less than one-tenth the cost. More crucially, can NASA find a way to stop being a Congressional jobs program in which “lawmakers” specify which rockets it will build (and, implicitly, by which contractors) and then complain when the program is over budget and too slow?

The same issue arises in private companies. In too many cases, a company’s “strategy” is only expressed as a series of ambitious goals. In *The Crux: How Leaders Become Strategists* I describe one such situation like this:²

We had a four-and-a-half-day foundry during which basic guiding policies were hard fought and developed after flying in key experts on day three. As we began to conclude, I had the three key tasks we had developed described on large paper easels in the front of the room. One of the participants then asked, "But where is the strategy?"

"What do you mean?" I questioned back.

"Well, three years ago we had a strategy that was distributed to everyone and covered a lot more detail about what we wanted to do."

"You mean this?" I asked, pointing to the paper document that was the three-year-old "strategy" pinned to the wall.

"Yes, that," he said.

I moved over to the document with my red marker in hand. I read each of the ten lines aloud and asked the group whether that objective had been met.

"Did you continue to lead the industry, as it says on line one?" I asked. The answer was no because market share had been lost. I put a red X next to the line.

"Did you maintain the highest safety standards?" Yes, checkmark.

"Did you increase profitability?" No, a red X.

"Did you penetrate the Chinese market?" Not really, a red X.

"Did you maintain high employee morale and confidence?" Well, with 15 percent layoffs, that was an interesting question. Red X.

"Did you dramatically reduce carbon-based energy usage?" Keeping it level is not a reduction. Red X.

When I stopped, there were eight red X's.

"Is this the kind of strategy you want to again publish?" I asked. "A document full of pious objectives few of which will be met in the next three years?"

That executive complained that the key action steps we had designed—actually tasks to be accomplished—were far from his company's Standard Narrative. In his case, the Standard Narrative was a public statement of values and goals to which everyone in the company could relate.

Employees and investors have come to expect such Standard Narratives describing the organization's basic activities and key priorities. The harm arises when this is confused with an *actual* strategy—one that identifies key challenges and maps out actions to overcome them.

In my client practice, to deal with the inertia of an expected Standard Narrative, I now push the word "strategy" into the background. Instead, I have a group work on what I have come to call an "Action Agenda." I do this with some regret since I have been a teacher and consultant on strategy for over fifty years. But many of my clients are caught in a simple trap—they want to harness the power of real strategy but they also seem to need a Standard Narrative to satisfy employees, legislators, and investors. And, to fill the "strategy" page on their Websites.

Nowadays most of my work with clients consists of conducting a Strategy Foundry.³ This is a two-to-four-day intense meeting of a small group (less than ten) of organizational leaders aimed at identifying the key barriers to improvement and designing action steps to overcome those barriers.

The idea of the Foundry arose with the gradual realization that most organizations did not need further deep analysis to do strategy work.

What they needed was a focus on challenge and action. Their problem was not insufficient knowledge, but (a) thinking of strategy as the Standard Narrative, and (b) being unable to grasp the gains from implementing the *unrecognized simplicities of effective action*. As Dominic Cummings insightfully remarks,⁴

The gains from implementing *the unrecognised simplicities of effective action* (e.g real clarity of priorities, really fighting the entropy of talent in large organisations) come mostly over longer time horizons than the costs and problems. This is why these simplicities are, as Charlie Munger says, ‘unrecognised’ and why we live in a world where there is perpetually vast amounts of apparently low-hanging fruit in politics that are incredibly hard to pick and eat.

In many cases, the barrier to effective action is not insufficient IQ or analysis—it is the logjam of competing interests, the powerful frictions of interpersonal and interdepartmental competition, and the natural inertia of complex organizations. Coherent action is deferred until the wolf is at the door. Or, actually past the door and in the cabin.

The power of a well-facilitated Strategy Foundry is in having a group of executives pierce the veil of each others’ expectations and reach what might be a fairly private consensus on what is actually both important and actionable. Usually, it requires a focus on problem-solving which leads to a set of fairly simple actions. The difficulty in getting there is breaking the habit of mistaking goals for strategy and the tradition of having a present under the Christmas tree for each interested party.

Nowadays, I call the output of a Strategy Foundry an “Action Agenda.” I do this to emphasize the centrality of action. When a group has to focus on actual tasks rather than goals, it is immediately and painfully clear that one cannot undertake too many actions at once. I also do this to break the almost automatic reflex of creating another Standard Narrative. The organization can, if it must, have a banal published “strategy” and, at the same time, leadership can create a powerful

Action Agenda. This set of key tasks does not have to be made public or endlessly repeated to employees.

- 1 Keith Johnson and Lara Seligman, "How China Could Shut Down America's Defenses," *Foreign Policy*, June 11, 2019.
- 2 Rumelt, Richard Post. *The Crux: How Leaders Become Strategists*. PublicAffairs, 2022. p. 327.
- 3 Registered trademark. See chapters 19–20 in *The Crux*.
- 4 Dominic Cummings on Substack, #6 Regime Change.